Question 1

Read the following scenario.

You are the audit senior working on the audit of Fish and Fingers Group Ltd (the group), an existing audit client, which comprises a non-trading parent company and three trading subsidiaries.

Following discussions with the group financial controller you have been sent an email including the group structure and background information on the group (Appendix). Your audit manager has asked you to briefly explain the components on which your audit firm will need to perform audit work and the overall scope of work required for the individual components of the group, based on the information in the Appendix. You should focus your analysis on the subsidiaries, rather than the non-trading parent company.

Question:

Briefly explain the components on which you need to perform audit work and the overall scope of the audit work required on each component, using the information in the Appendix. You do not need to consider the non-trading parent company.

(12 marks)

Appendix – Group structure and background information

The group is comprised of a non-trading parent company and three 100% subsidiaries, see below:

Fastest Fish Ltd 100% subsidiary Thurso, Scotland	**Tasty Fingers Ltd** 100% subsidiary, Glasgow, Scotland	**Forever Chips Café Ltd** 100% subsidiary, Glasgow, Scotland

The group

The group operates a commercial fishing business in the north of Scotland, using sustainable fishing practices to catch fish in the North Sea. Some of the catch is sold through group-owned retail fish shops and a café, with the remaining fish sold directly to wholesalers at a fish market in Peterhead.

The group structure is partially decentralised, and each component has its own finance manager who reports to the Group Finance Director. Overall materiality for the group audit has been calculated at £200,000.

Fastest Fish Ltd (Fastest)

This subsidiary supplies wholesalers with fish including cod, haddock and plaice. Sales vary depending on the quantity of fish caught by Fastest boats in the North Sea; however, this has long been the most lucrative subsidiary, accounting for 80% of the group's revenue.

Lately, Fastest has invested heavily in improving the sustainability of its fishing practices. This has resulted in a 10% reduction in the number of fish caught and sold to wholesalers.

Tasty Fingers Ltd (Tasty)

Tasty operates a series of fish shops in Glasgow and the surrounding area. Although there has been a recent reduction in the number of fish caught by Fastest, the group has prioritised the provision of fish to Tasty, which has allowed Tasty to continue to meet increasing demand.

Historically, Tasty has leased its fish shop locations. However, during the year Tasty has purchased three premises at a total cost of £550,000.

Forever Chips Café Limited (Forever)

Next to its original fish shop location in the southside of Glasgow is a group-owned café (Forever) which sells a selection of battered fish products along with chips. In the last five years this has typically accounted for 5-10% of the group's overall revenue, however this appears to be a declining trend as consumers appear to be swapping their Friday night fish and chips in favour of a pizza at the next-door Cheesy Palace Ltd.

Question 2

You are an audit senior at Miller and Associates Chartered Accountants (Miller). Your firm has recently been appointed as external auditor of the International Farming Equipment Supplies Group Limited (IFES) for the year ended 31 December 20X2.

IFES manufactures and distributes farming machinery and comprises a non-trading parent and four wholly owned subsidiaries based in the United Kingdom, France and the USA.

A summary of the group and its activities has been provided to you (Appendix 1) by Mark Smith, the group engagement partner.

Mark has determined that the group audit team should seek to place reliance, if possible, on the group-wide controls and those relating to the consolidation process as part of the group audit strategy. As part of the planning process, you held a call with Janet Li, IFES's group financial controller, to discuss the group-wide controls and consolidation process (Appendix 2).

During the group audit planning meeting, Mark requested that Tony Mendoza, the audit junior, draft group instructions to be distributed to all component auditors as part of the group audit planning. You have now received Tony's working draft of the group instructions (Appendix 3).

Tony was advised not to include information on the scope of work for each component as this will be added once you have completed the work in this area. He has also yet to complete the following sections of the group instructions and, therefore, these do not need to be considered as part of your current evaluation:

- Group structure
- Related party details
- Details of the engagement and client team members
- Budget and fee allocation
- Group reporting framework
- Standard reporting packages
- Key dates for the engagement, including reporting packages

Question:

Design tests of control to confirm the operating effectiveness of IFES's group controls and controls over the consolidation process.

(26 marks)

APPENDIX 1 – IFES group structure and extracts from forecast financial performance for the year ending 31 December 20X2

Group company	Background and activities
International Farming Equipment Supplies Group Limited (IFES) *United Kingdom*	The parent company, which operates as a holding company but does not trade. It employs a group management team and manages the group treasury function. Costs incurred by the holding company are recovered through management charges to the group subsidiaries.
Farming Equipment Manufacturing UK Limited (FEMU) *United Kingdom*	This subsidiary manufactures and sells farming machinery from its production plant in Manchester, England. It also supplies farming equipment to its other group members at cost plus a margin of 5% for distribution in Europe and the USA.
Farming Equipment European Distributors SARL (FEED) *France*	This subsidiary distributes machines purchased from FEMU to customers across Europe. All sales and associated financial records are recorded in euros.
Farming Equipment European Manufacturing SARL (FEEM) *France*	This subsidiary was incorporated in May 20X2 with plans to establish a manufacturing facility in Europe in order to expand production volume and aid with faster distribution networks within the European Union. All transactions are recorded in euros.
US Farming Equipment Suppliers LLC (UFES) *USA*	This subsidiary is based in Phoenix, Arizona, in the USA, and was acquired in November 20X1. The acquisition included the company's offices, senior management and sales teams. It distributes farming machinery purchased from FEMU to customers in the USA. All financial transactions are recorded in US dollars.

The components based in the UK and France are audited by the local offices of Miller. The firm does not have any offices in the USA and the board of directors of IFES has decided to retain the services of the subsidiary's previous audit firm, based in Phoenix.

APPENDIX 2 – IFES group-wide controls and consolidation process

Extract from telephone call notes with Janet Li, IFES group financial controller.

Janet noted there was a comprehensive group oversight process in place that supports monitoring of group financial performance and reliability of group financial reporting.

Monthly management meetings

On a monthly basis, each subsidiary management team has a performance call which Janet attends together with the group chief executive officer (CEO), group chief financial officer (CFO) and the group internal audit manager.

The agenda typically covers a broad range of issues, such as financial performance against budget, health and safety, staff matters and market outlook. A formal standing agenda is emailed in advance of the meeting together with an information pack. There are no formal minutes retained for the meetings.

Group internal audit team

The group internal audit team has an annual internal audit plan which includes an annual review of the operating effectiveness of the control environment at each subsidiary entity as well as specific individual reviews of financial processes and controls at each subsidiary that are conducted over the 3-year internal audit plan period.

Group consolidation processes

On the fifteenth of each month, the group financial accountant, Amir Jones, sends out an email with an attached standard reporting pack to the subsidiary financial controllers outlining the expectations for the month-end group reporting and timetable. This email also sets out any key issues or judgements that are expected to impact the subsidiary.

Each subsidiary submits the monthly standard reporting pack to Amir. The reporting pack is accompanied by a checklist that is signed by the subsidiary's financial controller and general manager. The checklist confirms that the financial controller and general manager are satisfied that the financial reporting pack agrees to the underlying financial records and sub-ledgers and that they have undertaken a review to ensure correct presentation in line with local accounting reporting standards. All subsidiaries, with the exception of US Farming Equipment Suppliers LLC, report under IFRS.

The reporting package is prepared in the local functional currency for each subsidiary. Amir obtains exchange rates for the month from a reputable third-party source and obtains email approval from Janet that these latest exchange rates can be used in the consolidation file. The standard financial reporting packs are populated into an Excel-based consolidation spreadsheet using macros and the currency conversions to sterling are calculated automatically.

With regards to the US subsidiary, Amir has to perform additional procedures to convert the information from US GAAP to IFRS. He performs this using an accounting policy alignment checklist with supporting calculations in an Excel spreadsheet, which he sends to Janet for discussion and approval.

Amir compiles a number of general consolidation adjustments which include elimination of inter-company sales. Once completed, the summary group financial statements for the period to date are created by Amir and subject to review and approval by Janet.

Year-end consolidation

At the year end, Amir extracts the data from the consolidation spreadsheet to prepare the full year financial statements. There are a number of judgemental matters that impact the year-end consolidated accounts, including assessment of goodwill impairment. Amir compiles a detailed assessment of any judgemental matters for submission to the CFO along with the draft group financial statements. These are reviewed and approved by the CFO, together with the draft group financial statements, with any queries investigated by Amir before being released with the draft financial statements to other senior management team members for consideration.